Minimum Employment Benefits:

1. Overtime Pay
2. Meal Break
3. Night Shift Differential
4. Rest Day
5. Additional pay for working on rest days or special holidays
6. Holiday Pay
7. Service Incentive Leave
8. Share in service charges

*The legal coverage for these benefits starts on the first day of employment for every employee, either temporary or permanent

Excluded groups from coverage of minimum employment benefits:

1. Government Employees
2. Managerial Employees
3. Field Personnel
4. Members of the family of the employer who are dependent on him for support
5. Domestic Helpers
6. Persons in the personal service of another
7. Workers who are paid by results

Managerial Employees

- Those whose primary duty consists of the management of the establishment in which they are employed or of a department or subdivision thereof, and of other officers or members of the managerial staff

Field Personnel

- Non-agricultural employees who regularly perform their duties away from the principal place of business or branch office of the employer and whose actual hours of work in the field cannot be determined with reasonable certainty

Test: control and supervision of employer

*To determine whether an employee is a field employee, it is necessary to ascertain if actual hours of work in the field can be determined with reasonable certainty by the employer. An inquiry must be made as to whether the employee's time and performance are constantly supervised by the employer

*Holiday pay and service incentive leave are also not extended to employees of retail and service establishments regularly employing fewer than 10 workers

Dependent Family Members

- Workers who are family members of the employer, and who are dependent on him for their support, are outside the coverage of the Labor Code on working conditions and rest periods

Domestic Helpers

- "Kasambahay" refers to any person engaged in domestic work within an employment relationship, such as but not limited to: (1) general househelp; (2) nursemaid or "yaya"; (3) cook; (4) gardener; or (5) laundry person

*Any person who performs domestic work only occasionally or sporadically and not on an occupational basis is not included

Persons in the Personal Service of Another

- Domestic servants and persons in the personal service of another if they perform such services in the employer's home which are usually necessary or desirable for the maintenance and enjoyment thereof or minister to the personal comfort, convenience or safety of the employer as well as the members of the employer's household

The following personnel are not domestic employees:

1. House personnel hired by a ranking company official but paid by the company itself to maintain a staff house provided for the official
2. A family cook, who is later assigned to work as a watcher and cleaner of the employer's business establishment, becomes an industrial worker entitled to receive the wages and benefits flowing from such status

Workers Paid by Result

- Workers under piece-rate employment have no fixed salaries and their compensation is computed based on accomplished tasks
- Their pay is dependent on units of product finished or work completed and not on time spent in working

Additional Benefits:

1. Compensation Benefits
2. Employment benefits under Special Labor Laws

Statutory vs. Voluntary Benefits

- The employment benefits required by law are referred to as statutory or mandatory benefits
- A benefit originated and governed by policy or practice initiated by the employer is considered a voluntary benefit
- If a non-statutory benefit is based on and governed by negotiated stipulations, it is called a voluntary contractual benefit
- A statutory benefit may be enhanced or improved by voluntary policy or by contract

*The conditions and standards of employment apply only if there exists an employer-employee relationship between the parties

Contractor

- Not an employee
- He is self-employed, an expert professional, or a businessman, with capital of his own, who operates independently from his client or principal, to accomplish a job, work, or service
- An employee is covered by the Labor Code; a contractor is not
- If the contractor hires other workers to do the job, they are his employees. The contractor then becomes an employer and his hirees are employees covered by the Labor Code
- If the contractor merely recruits and supplies workers to do a job, work or service for and under the control of the principal, then the law calls him a labor-only contractor

Commission Agents

- Are not employees if the agents are not required to report for work at any time; they do not have to devote their time exclusively to or work solely for petitioner; the time and the effort they spend in their work depend entirely upon their own will and initiative; they are not required to account for their time nor submit a record of their activities; they shoulder their own selling expenses as well as transportation; and they are paid their commission based on a certain percentage of their sale

Employee Ranks

1. Managerial Employees
2. Supervisory Employees
3. Rank-and-File Employees

Managerial Employees

- One who is vested with the powers or prerogatives to lay down and execute management policies and/or to hire, transfer, suspend, lay off, recall, discharge, assign, or discipline employees

Conditions of Managerial Positions

1. Their primary duty consists of management of the establishment in which they are employed or of a department or subdivision thereof
2. They customarily and regularly direct the work of two or more employees therein
3. They have the authority to hire or fire other employees of lower rank
4. Their suggestions and recommendations as to the hiring and firing and as to the promotion or any other change of status of other employees are given particular weight

Supervisory Employees

- Those who, in the interest of the employer, effectively recommend such managerial actions if the exercise of such authority is not merely routinary or clerical in nature but requires the use of independent judgment

Rank-and-File Employees

- Those who do not fall within the definition of managerial and supervisory employees

Working Conditions

- The terms and circumstances affecting the employment of an employee, including policies, programs, and regulations governing his employment status, work, work relationships, salary, and benefits

*An employer is free to regulate, according to his own discretion, all aspects of employment, except as limited by special laws

Normal Hours of Work

- Should not exceed eight (8) hours a day

Health Personnel

- The customary practice of requiring resident physicians to work for twenty-four (24) hours a day violates the limitations of normal hours of work
- Hospital personnel are no longer entitled to seven (7) days' pay for a workweek of five (5) days

Hours Worked

- All the time during which an employee is required to be on duty or to be at a prescribed workplace, and all time during which an employee is suffered to permitted to work
- Rest periods of short duration during working hours shall be counted as hours worked
- The right to fix work schedules of the employees' rests principally with the employer
- Waiting time spent by an employee is considered working time if waiting is an integral part of his work or if the employee is required or engaged by an employer to wait

Compensable Hours of Work

1. All the time during which an employee is required to be on duty or to be at a prescribed workplace
2. All the time during which an employee is suffered or permitted to work

General principles in determining if time is considered as hours worked:

1. All hours are hours worked which the employee is required to give his employer, regardless of whether such hours are spent in productive labor or involve physical or mental exertion
2. An employee need not leave the premises of the workplace, so that his rest period shall not be counted. It is enough that he stops working, may rest completely, or may leave his workplace to go elsewhere, whether within or outside the premises of his workplace
3. If the work performed is necessary, or it benefited the employer, or the employee could not abandon his work at the end of his normal working hours because he had no replacement, all time spent for such work shall be considered as hours worked, if the work was with the knowledge of his employer or immediate supervisor
4. The time during which an employee is inactive by reason of interruptions in his work beyond his control shall be considered working either:
   a. If the imminence of the resumption of work requires the employee's presence at the place of work
   b. If the interval is too brief to be utilized effectively and gainfully in the employee's own interest

Rest Period

- Short duration or "coffee break"
- Rest periods or "coffee breaks" running from five (5) to twenty (20) minutes shall be considered as compensable working time
- An employee need not leave the work premises, so that his rest period shall be counted
- It is enough that he stops working, may rest completely, and may leave his workplace to go elsewhere, whether within or outside the workplace premises

Work Interruptions

- The time during which an employee is inactive by reason of interruptions in his work beyond his control shall be considered working time either:
  a. If the imminence of the resumption of work requires the employee's presence at the place of work; or
  b. If the interval is too brief to be utilized effectively and gainfully in the employee's own interest

Brownout

- Brownouts of short duration, but not exceeding twenty (20) minutes, shall be treated as hours worked, whether used productively by the employees or not
- If the brownout lasts more than twenty (20) minutes, the time may not be treated as hours worked if the employees can leave their workplace to go elsewhere whether within or outside the work premises, or the employees can use the time effectively for their own interest

Necessary Work After Normal Hours

- If the work performed was necessary, or it benefited the employer, or the employee could not abandon his work at the end of his normal working hours because he had no replacement, all the time spent for such work shall be considered as hours worked if the work was with the knowledge of his employer or immediate supervisor

Lectures, Meetings, Trainings

- Lectures, meetings, or trainings shall not be counted as working time if all the following conditions are met:
  a. Attendance is outside of the employee's regular working hours;
  b. Attendance is in fact voluntary; and
  c. The employee does not perform any productive work during such attendance

*Attendance in lectures, meetings, and training periods sanctioned by the employer is considered hours worked

*Attendance at Collective Bargaining Agreement negotiations or grievance meetings is compensable hours worked

*Attendance in hearings in cases filed by the employee is not compensable hours worked

Semestral Break for Private School Teachers

- Regular full-time teachers are entitled to salary during semestral breaks
- These semestral breaks are like work interruptions beyond the employees' control
- These breaks cannot be considered as absences within the meaning of the law for which deductions may be made from monthly allowances

Idle Time

- The idle time that an employee may spend resting and dining, which he may leave the spot or place of work, though not the premises of his employer, is not counted as working time only where the work is broken or is not continuous

Travel Time

1. Travel from home to work
2. Travel that is all in the day's work
3. Travel away from home

Travel from Home to Work

- Travel from home to work is not considered compensable worktime, except:
  a. When called to travel during an emergency
  b. When travel is done through a conveyance furnished by the employer
  c. Travel is done under vexing and dangerous circumstances
  d. Travel is done under the supervision and control of the employer

Travel that is all in the day's work

- Time spent by an employee in travel from jobsite to jobsite during the workday must be counted as hours worked
- Where an employee is required to report at a meeting place to receive instructions or to perform other work there, the travel from the designated place to the workplace is part of the day's work

Travel Away from Home

- Travel that keeps an employee away from home overnight is travel away from home
- Travel away from home is worktime when it cuts across the employee's workday. Said time is hours worked not only on regular working hours but also during the corresponding hours on non-working days

Work Hours of Seamen

- In addition to their regular compensation, they are given free living quarters to be on board
- The correct criterion in determining whether sailors are entitled to overtime pay is not whether they are on board and cannot leave the ship beyond the regular eight hours, but whether they actually rendered service in excess of eight hours

Waiting Time

- Waiting time spent by an employee shall be considered as working time if waiting is:
  1. An integral part of his work; or
  2. The employee is required or engaged by the employer to wait

*An employee is considered working while on call

*An employee who is not required to leave work at his home or with company officials where he may be reached is not working while on call

*Whether waiting time constitutes working time depends upon the circumstances of each particular case. The controlling factor is whether waiting time spent in idleness is so spent predominantly for the employer's benefit or for the employee's

Flexible Work Arrangements

- Temporary by nature
- Prior to implementation, the employer shall notify the Department through the Regional Office, which has jurisdiction over the workplace, of the adoption of any flexible work arrangements

Kinds of Flexible Work Arrangements:

1. Reduction of Work Days
2. Rotation of Workers
3. Forced Leave
4. Broken-Time Schedule
5. Flex-Holidays
6. Compressed Work Week (CCW)

Reduction of Work Days

- The normal workdays per week are reduced but should not last for more than six (6) months

Rotation of Workers

- The employees are rotated or alternatively provided work within the workweek

Forced Leave

- Employees are required to go on leave for several days or weeks utilizing their leave credits if there are any

Broken-time Schedule

- The works schedule is not continuous but the work hours within the day or week remain

Flexi-Holidays

- The employees agree to avail the holidays at some other days, provided there is no diminution of existing benefits as a result of such arrangement

Compressed Work Week

- Instead of working six days a week, the employees will be regularly working only five days, but each workday exceeds eight (8) hours because of the work hours taken from the sixth day
- For work exceeding eight (8) hours, the employees waive their overtime pay because they will no longer incur transport and other expenses on the sixth day
- This is allowed if it is freely agreed upon by the employer and his employees
- The total hours of work shall not exceed twelve (12) hours a day or forty-eight (48) hours a week

Conditions for Compressed Work Week:

1. The Compressed Work Week scheme is undertaken as a result of an express and voluntary agreement of the majority of the covered employees or their duly authorized representatives
2. In firms using substances, chemicals, and processes or operating under conditions where there are airborne contaminants, human carcinogens, or noise, prolonged exposure to which may pose hazards to employees' health and safety, there must be a certification from an accredited health and safety organization or practitioner from the firm's safety committee that work beyond eight hours is within threshold limits or tolerable levels of exposure
3. The employer shall notify the Department, through the Regional Office having jurisdiction over the workplace, of the adoption of the Compressed Work Week scheme

Meal Periods

- The meal period should not be less than sixty (60) minutes, in which case it is time off or non-compensable time
- Shortened meal time should be with full pay, and the time when the employee cannot eat should also be paid
- Rest periods of coffee breaks from five (5) to twenty (20) minutes shall be considered as compensable working time
- The eight-hour work period does not include the meal break
- Employees are not prohibited from going out of the premises as long as they return to their posts on time

General Rule

- Every employer shall give his employees not less than sixty (60) minutes of time off for their regular meals

Exceptions

- Employees may be given a meal period of not less than twenty (20) minutes provided that such shorter meal period is credited as compensable hours worked of the employee:
  1. Where the work is non-manual work in nature or does not involve strenuous physical exertion
  2. Where the establishment regularly operates less than sixteen (16) hours a day
  3. In case of actual or impending emergencies, or when there is urgent work to be performed on machinery, equipment, or installations to avoid serious loss which the employer would otherwise suffer
  4. Where the work is necessary to prevent serious loss of perishable goods

General Rule

- Meal periods or meal breaks are not compensable

Exceptions:

1. Where the lunch period or meal time is predominantly spent for the employer's benefit
2. Meal periods of one (1) hour are deemed compensable when the employee is on a continuous shift
3. Shortened meal period of less than one (1) hour must be compensable

Exception to the Exception

- Shortened meal breaks upon the employees' request are not compensable

Conditions for shortened meal breaks upon employees' request:

1. The employees voluntarily agree in writing to a shortened meal period of thirty (30) minutes and are willing to waive the overtime pay for such shortened meal period
2. There will be no diminution whatsoever in the salary and other fringe benefits of the employees existing before the effectivity of the shortened meal period
3. The work of the employees does not involve strenuous physical exertion and they are provided with adequate "coffee breaks" in the morning and afternoon
4. The value of the benefits derived by the employees from the proposed work arrangement is equal to or commensurate with the compensation due them for the shortened meal period as well as the overtime pay for thirty (30) minutes as determined by the employees concerned
5. The overtime pay of the employees will become due and demandable if ever they are permitted
6. The effectivity of the proposed working time arrangement shall be of temporary duration

Overtime Work

- Work exceeding eight hours within the worker's 24-hour workday
- Extra labor taxing the endurance of the worker
- Overtime work is 25% of the regular wage if done on a regular workday and 30% if done on a holiday or rest day
- Entitlement to overtime pay must first be established by proof that said overtime work was performed

Basis of Computation

- Regular wage means regular base pay, excluding money received in different concepts such as Christmas Bonus and other fringe benefits
- When overtime work is performed in the employee's rest day, special holidays, or regular holidays, the premium pa must be included in the computation of overtime pay

Premium Pay

- Additional compensation required by law for work performed within eight (8) hours on non-working days such as rest days or holidays

Any employee may be required by the employer to perform overtime work in any of the following cases: (Emergency Overtime Work)

1. When the country is at war or when any other national or local emergency has been declared by the National Assembly or the Chief Executive
2. When it is necessary to prevent loss of life or property or in case of imminent danger to public safety due to an actual or impending emergency in the locality caused by serious accidents, fire, flood, typhoon, earthquake, epidemic, or other disaster or calamity
3. When there is urgent work to be performed on machines, installations, or equipment, to avoid serious loss or damage to the employer or some other cause of similar nature
4. When the work is necessary to prevent loss or damage to perishable goods
5. Where the completion or continuation of the work started before the eighth hour is necessary to prevent serious obstruction or prejudice to the business or operations of the employer

Undertime cannot offset overtime

- An employee's regular pay rate is lower than the overtime rate
- Undertime hours should be deducted from the accrued leave. If the leave credits are already exhausted, then the undertime hours may be deducted from the worker's daily wage. But the worker is still entitled to overtime compensation
- The right to overtime pay cannot be waived

Composite or Package Pay is not per se illegal

- Composite, package, or all-inclusive salary is an arrangement where the employee's salary includes the overtime pay

Conditions for the validity of Package Pay arrangement:

1. There is a clear written agreement knowingly and freely entered by the employee
2. The mathematical result shows that the agreed legal wage rate and the overtime pay, computed separately, are equal to or higher than the separate amounts legally due

Synthesis of Rules for Overtime Pay:

1. An employer cannot compel an employee to work overtime
   Exception: instances falling under emergency overtime
2. Additional compensation is demandable only if the employer had knowledge and consented to the overtime work rendered by the employee
   Exception: Express approval by a superior is not a requisite to make overtime compensable:
   a. If the work performed is necessary, or it benefited the company; or
   b. The employee could not abandon his work at the end of his eight-hour work because there was no substitute ready to take his place
3. A given day is considered an ordinary day, unless it is a rest day or holiday
4. Undertime work on any particular day shall not be offset by overtime work on any other day

Night Shift Differential

- Attached by law to every work done between 10:00 PM and 6:00 AM, whether or not this period is part of the worker's regular shift
- 10% of his regular wage for every hour worked within the mentioned hours
- If the work done between 10:00 PM and 6:00 AM is overtime work, then the night shift differential should be based on the overtime rate
- Exempt from this are retail and service establishments regularly employing not more than five workers

Night Worker

- Any employed person whose work requires performance of a substantial number of hours of night work which exceed a specified limit

Health Assessment

- At the worker's request, they shall have the right to undergo a health assessment without charge and to receive advice on how to reduce or avoid health problems associated with their work

Mandatory Facilities for Night Workers:

1. First-aid Facilities
2. Sleeping Quarters
3. Transportation

First-aid Facilities

- Suitable first-aid facilities shall be made available for workers, including arrangements whereby they, when necessary, can be taken immediately to a place for appropriate treatment

Sleeping Quarters

- Employers are required to provide safe and healthful working conditions and adequate facilities such as sleeping or resting quarters in the establishment and transportation from the work premises to the nearest point of their residence, subject to exceptions and guidelines

Transfer

- Night workers who are certified as unfit for night work, due to health reasons, shall be transferred to a similar job for which they are fit to work. If such is not practicable, they shall be granted the same benefits as other workers who are unable to work, or to secure employment during such period

Night-Off (Rest Day)

- Night shift employees are entitled to a weekly night-off (usually Saturday evening) or a weekly rest period of twenty-four (24) hours beginning at the start of the night shift

Work on Special Days

- Night shift employees are entitled to premium pay on special days and holidays. These days are counted as calendar days, starting at midnight and ending at the following midnight. The premium pay for the night shift also starts or ends at midnight
- However, the employment contract, company policy, or collective bargaining agreement may provide that days shall begin on the night before a calendar day

Part-time Work

- A single, regular, or voluntary form of employment with hours of work substantially shorter than those considered as normal in the establishment
- Excludes those forms of employment which, although referred to as part-time work, are in particular, irregular, temporary, or intermittent employment, or in cases where hours of work have been temporarily reduced for economic, technical or structural reasons
- The wage and benefits of part-time workers are in proportion to the number of hours worked

Contract for Piece of Work

- A contract for the delivery at a certain price of an article which the vendor in the ordinary course of his business manufactures or procures for the general market, whether the same is on hand at the time or not, is a contract of sale
- If the goods are to be manufactured especially for the customer upon his special order, and not for the general market, it is a contract for a piece of work